

The yield curve

When the rates of returns on debt of varying periods are compared, the resulting graph gives the relationship between short- and long-term interest rates, known as a yield curve. Normally, the curve slopes upwards: returns rise with the borrowing period; in other words, long-term interest rates are higher than short-term ones. Suppose an investor lends the government £100 by buying a bond. The government pays him interest and returns the money in six months. If the repayment period was three years, one might expect a higher interest rate. By lending for longer, the investor takes on more risk: in three years many unforeseen events could occur.

Sometimes, the yield curve slopes downwards: short-term rates exceed long-term ones. This indicates that investors expect short-term interest rates to fall (otherwise one could borrow at the long-term rate to re-lend at the short-term one). Expectations of falling short-term rates can be a sign that an economy is about to enter a downturn.

